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Morgan Stanley Research: Key Forecasts

Next 12-Months Outlook: Our High-Conviction Calls

The economic outlook remains constructive: In the US, our outlook for inflation remains constructive, and we expect the Fed to stay on hold for the remainder of this year. The three dissents in favor of a hike indicate that the policymakers will continue to assess the macro cross-currents; however, the market reaction to the press conference implies that there is reconsideration of the Fed's reaction function by investors. In the euro area, 2Q26 growth was surprisingly robust; on the inflation side, while the transmission from energy prices into core is not yet visible in the data, we see risks that core moves up in 3Q26. And so we expect that the ECB will hike at the September meeting. For the BoJ, we now expect that policy normalization via another policy rate hike will be earlier, in October instead of December. More broadly, global growth outlook remains in line with our mid-year outlook, with the capex cycle in the US and Asia supporting growth via domestic demand and exports.

Climbing the Wall of Worry: We think the AI-capex narrative remains intact, but stretched valuations, a deluge of debt issuance raising capex-discipline questions, and heavy consensus positioning have added to market jitters. We think these are risks to volatility, not returns – the broadening rally can continue. While concerns around energy prices, the Fed, and geopolitical risks remain, macro and micro fundamentals remain healthy, a good backdrop for risk assets. We recommend an **OW in global stocks with a preference for US over RoW and EW commodities. Within govies, we reduce USTs to EW and add EGBs, leaving overall govies OW. We maintain a large UW in US IG, but add EUR IG on stronger technicals and duration support.**

Equities: DM to Outperform, Lean into US

Global equities continue to digest geopolitical and market-based volatility while longer-term earnings and macro data remain supportive of broader participation in the coming months. We remain constructive on US markets due to the combination of positive operating leverage, supportive and pro-cyclical policy, and the potential for AI-driven efficiency gains. For Japan's 1Q earnings season, our base case is a rotation back into AI stocks, supported by continued bullish capex spending by US hyperscalers. However, we expect greater selectivity among stocks with high embedded expectations. We focus on catch-up potential in lagging cyclical value stocks as the benefits of AI broaden. In EM, we view the current environment as uncertain due to the combined effect of AI capex and disruption, energy price volatility, and a more uncertain path for the Fed. That said, we remain constructive on capex super-cycle plays. With c. 76% of market cap having reported, Europe is on track for the strongest earnings season in years. Net weighted skew to beats stands at +45% & to guidance raises +23%, up markedly from prior quarters. Semis, Transport, Div Fins, & Aerospace lead on beats & guidance, and the vast majority of sectors are showing positive revisions.

Index (Local Ccy)	7/31/2026	MS Jun 2027 Price Target	Current P/E	MS Jun 2027 P/E Target	MS Top Down EPS YoY% 2026e	2027e
S&P 500	7,490	8,300	19.5x	20.5x	339	380
					+23%	+12%
MSCI Europe	2,582	2,810	15.0x	16.5x	156	165
					+13%	+6%
Topix	4,003	4,300	16.1x	17.5x	216	235
					+9%	+9%
MSCI EM	1,666	1,800	10.5x	13.0x	125	136
					+40%	+9%

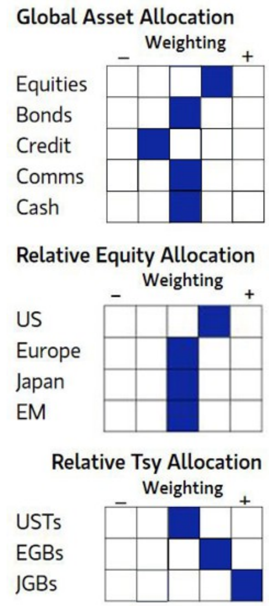
Source: Markit Box, MSCI, RIMES, Datastream, IBES, Bloomberg, Morgan Stanley Research forecasts; Note: See S&P source report; MSCI Europe source report; Topix source report; MSCI EM source report.

Next 12-Months Snapshot

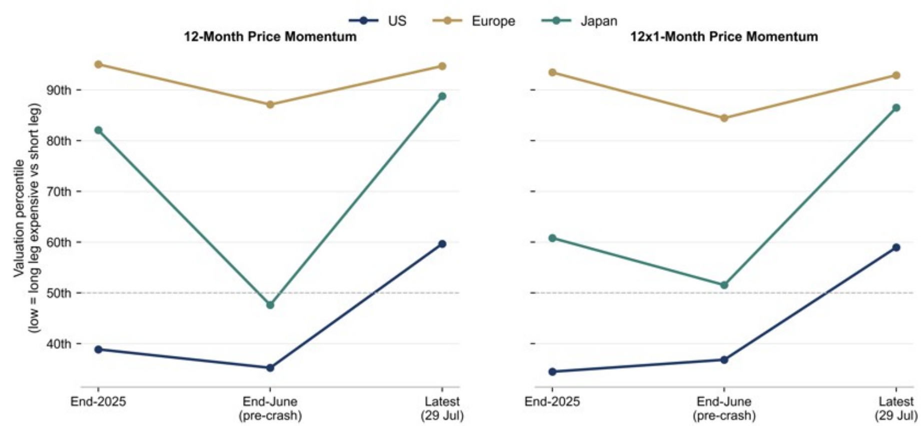
In the US, we expect that the deceleration in inflation in the next several prints will support purchasing power and real consumption growth. Advance estimates for 2Q26 US GDP indicate that domestic private demand is running at a solid 3.1%q/q saar, up from 2.2% in 1Q26. At a global level, the growth impulse is increasingly capex and manufacturing-led, with Asia at the center. 2Q growth momentum in the region is holding up better than expected, supported by AI demand and a broader capex cycle tied to energy security, defense spending, and supply-chain reconfiguration. Chinese growth remains K-shaped , with industrial and export momentum improving while domestic demand remains uneven. 2Q26 Euro area growth in was surprisingly robust, and strong July PMIs suggest growth momentum will continue to firm in 3Q absent strong energy related drags.

	GDP 4Q/4Q			Inflation 4Q/4Q		
	2025	2026e	2027e	2025	2026e	2027e
Global	3.4	3.2	3.3	1.9	2.9	1.9
US	2.0	2.2	2.6	2.7	3.1	2.0
Euro Area	1.1	0.8	1.2	2.1	3.4	1.6
Japan	0.3	0.5	1.3	2.7	2.8	0.0
EM	4.9	4.5	4.4	1.4	2.7	2.1

Source: Global Economic Briefing: Key Forecast Profile (31 Jul 2026)



One Chart You Can't Miss: US Momentum Valuation Has Normalized; Japan Round-Tripped; Europe Never Was Rich (Lower = More Expensive)



Source: Morgan Stanley Research, Bloomberg, Datastream. Data as of 29 July 2026. Factor valuation is measured as the ratio of valuation median of factor Q1 to valuation median of factor Q5, then converted to its full-sample percentile rank.

Upcoming Economic Indicators

Date	Economy	Event	MS Forecast	Consensus
04-Aug	US	US Trade Balance (Jun)	-72.0 (USD, bil)	-71.0 (USD, bil)
05-Aug	IN	India RBI Monetary Policy Meeting	5.25% (No change)	5.25% (No change)
05-Aug	BR	Brazil BCB Monetary Policy Meeting	14.00% (-25 bp)	14.00% (-25 bp)
06-Aug	MX	Mexico Banxico Rates Decision	6.50% (No change)	6.50% (No change)
07-Aug	CN	China Exports/ Imports Growth (Jul)	22.0%Y/ 27.0%Y	23.7%Y/ 27.9%Y
07-Aug	US	US Change in Nonfarm Payrolls/ Private Payrolls (Jul)	70k/ 65k	90k/ 83k
07-Aug	US	US Unemployment Rate (Jul)	4.3%	4.3%
09-Aug	CN	China CPI/ PPI (Jul)	0.8%Y/ 4.1%Y	0.8%Y/ 4.1%Y

Source: Bloomberg, Morgan Stanley Research forecasts

For details on upcoming economic indicators: US Europe Asia-Pacific LatAm CEEMEA

Oil Tails, Steeper Than Forwards; A Bit More Slack for the Greenback

In the US, we expect Treasuries to outperform forwards as oil tails fade and the Fed path reprices lower. Our probability-weighted baseline puts 10y yields at 4.25% by year-end. In the euro area, the ECB hikes once more, then cuts back to 2%. We forecast 10y Bund at 2.70% by the end of 2026, well below the forwards. We forecast 10-year gilts to end 2026 at 3.90% and JGBs to finish at 2.40%. We expect modest USD weakness to continue in the coming months, with the DXY bottoming at 95 in 3Q26. However, this move is likely limited in size and duration, marking the final phase of the cyclical USD selloff that began in early 2025, with the DXY retracing its losses to end 2027 around 100.

FX	7/31/2026	2Q27 Forecast
EUR / USD	1.15	1.16
USD / JPY	157	156
GBP/ USD	1.35	1.34

Rates (%)	7/31/2026	2Q27 Forecast
US 10yr	4.73	4.20
German 10yr	3.21	2.45
UK 10yr	5.05	4.40
Japan 10yr	2.81	2.25

Source: Bloomberg, Morgan Stanley Research forecasts

Commodities

Oil - Strait of Hormuz - Weekly Tracker: Oil prices touched $100/bbl again last week as flows through the Strait of Hormuz declined again and shipments through the Bab al-Mandab - a key diversion route away from the SoH - came under attack. In the week to Sunday 19 July, crude oil exports from the Middle East averaged 8.4 mb/d, down from 13.6 mb/d the week before. Meanwhile, outbound tanker transits from the Gulf have declined to ~2/day so far this week, compared to an average of ~7/day last week. Refined product prices continue to outperform crude, see: Cheap Crude, Dear Diesel - Why Crack Spreads Are So High.

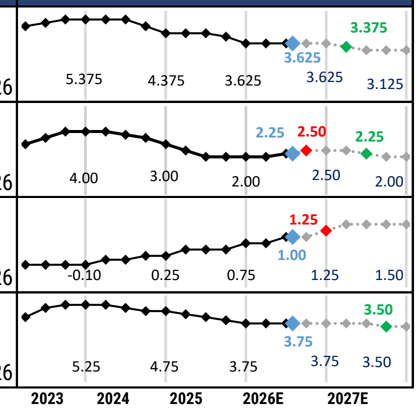
Gas: Summer Heats Up, While Gas Market Cools Down: European gas markets remain finely balanced, as Europe still enters the second half of the refill season with unusually low storage. Weak LNG imports have been the main driver of this slower refill, with imports into our European perimeter tracking down 30% YoY over July, as strong Asian demand has pulled flexible LNG supply eastwards. Risks remain skewed to the upside over the winter vs the forward curve, as Qatari LNG export normalisation before the end of Q3 26 looks increasingly unlikely.

Metals: The Price Deck – 3Q26: Idiosyncratic drivers across the complex look set to continue through 2H with metals performance expected to be driven more by commodity specific factors than broad macro trends, although US Fed policy remains a key two-way risk. Copper is our top pick with tightening supply, strong Chinese buying, and event risk around US tariffs. If tariffs are announced or the decision is delayed, COMEX should outperform LME, but we caveat that tariffs being ruled out would be bearish for both. The biggest risk is Middle East escalation driving growth concerns and rate hikes. We like uranium with tighter supply, upside to spot buying, and an expected pickup in contracting. We see gold moving higher, but more slowly, with our economists' view that the Fed can avoid rate hikes. We see aluminium tipping into a significant surplus in 2027, with faster Middle East restarts and Chinese investment driving supply growth elsewhere. We remain cautious on iron ore given weaker steel output, strong supply, and falling cost curves. See: metal&ROCK: Competition for Copper (24 Jul 2026), metal&ROCK: Gold and Silver: When Will ETF Buying Resume? (20 Jul 2026).

G4 Central Bank Monitor

In the **US**, the July Fed decision was in line with our expectations, but the communication mattered more as market's are still wrestling to ascertain the Fed's reaction functions. Subsequent data confirmed our view that inflation is softening and real growth remains robust, allowing the Fed to remain on hold this year. We expect the **ECB** to hike in September as energy prices remain volatile amid surprisingly robust growth, putting upward pressure on headline inflation. Beyond September, we expect the ECB to remain on hold as core inflation moves broadly sideways while growth remains below potential. The **BoJ** delivered a hawkish hold in July, and we now we now expect the next hike in October as risks of underlying inflation exceeding the 2% target keep rising.

Economy	Current Policy Rate (Last Change)	Next Meeting Date	End of Quarter Policy Rate Forecast (23Q1 to 27Q4)
US	3.625% (No Change)	16-Sep-2026	
Euro Area	2.25% (No Change)	10-Sep-2026	
Japan	1.00% (No Change)	18-Sep-2026	
UK	3.75% (No Change)	17-Sep-2026	



Blue marker indicates current rate. **Green** and **Red** markers indicate quarters with next projected cut and hike respectively.

Source: Global Economic Briefing: Key Forecast Profile (31 Jul 2026)

Credit: Writing Bigger Checks

Credit sits at the crossroads of strong earnings and good demand, supported by high rates vs. strong supply. We think the magnitude of supply is high enough to take IG wider by year-end, but HY is sideways and outperforms on excess and total returns. We expect EU IG to outperform US IG, but see better risk-reward for US HY vs EU HY.

	Current	2Q27 Bull	2Q27 Base	2Q27 Bear
US Investment Grade	78	70	90	125
US High Yield	279	230	275	425
US Leveraged Loans	428	390	440	575
EUR IG	79	60	80	150
EUR HY	272	225	300	500
Asia IG	60	50	65	130

Source: Bloomberg, PitchBook | LCD, Morgan Stanley Research forecasts; Note: Data as of July 31, 2026

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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